The first steps were taken by Portugal and Spain whose seamen, sponsored and controlled by their governments, began a great era of geographical discoveries. In 1492, Columbus of Spain set out to reach India and discovered America instead. In 1498, Vasco da Gama of Portugal discovered a new and all-sea route from Europe to India. He sailed round Africa via the Cape of Good Hope and reached Calicut. He returned with a cargo which sold for 60 times the cost of his voyage. These and other navigational discoveries opened a new chapter in the history of the world. The seventeenth and eighteenth centuries were to witness an enormous increase in world trade. The vast new continent of America was opened to Europe and relations between Europe and Asia were completely transformed.

Another major source of early capital accumulation or enrichment for European countries was their penetration of Africa in the middle of the fifteenth century. In the beginning, the gold and ivory of Africa had attracted the foreigner. Very soon, however, trade with Africa centred around the slave trade. In the sixteenth century this trade was a monopoly of Spain and Portugal. Later it was dominated by Dutch, French and British merchants. Year after year, particularly after 1650, thousands of Africans were sold as slaves in the West Indies and in North and South America. The slave ships carried manufactured goods from Europe to Africa, exchanged them on the coast of Africa for African slaves, took these slaves across the Atlantic and exchanged them for the colonial produce of plantations or mines, and finally brought back and sold this produce in Europe. It was on the immense profits of this triangular trade that the commercial supremacy of England and France was to be based. A great deal of West European and North American prosperity was based on the slave trade and the plantations worked by slave labour. Moreover, profits of slave trade and the slave-worked plantations provided some of the capital which financed the Industrial Revolution in the eighteenth and nineteenth centuries. A similar role was later played by the wealth extracted from India.

In the sixteenth century, European merchants and soldiers also began the long process of first penetrating and then subjecting Asian lands to